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UPDATE

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Global Macro Commentary | Global

October 28: Flattening Before the Fed

US rates extend flattening into FOMC meeting; constructive US-Japan summit; US reportedly considers lowering fentanyl-related tariffs on China; ECB bank lending survey shows unexpected tightening of credit standards; Chile BCCh on hold, as expected; DXY at 98.667 (-0.1%); US 10y at 3.977 (-0.5bp).

Risk sentiment is well supported by more constructive US-China trade signals and AI developments, but rates remain range-bound ahead of Wednesday's Fed meeting.

Developed Markets

- **US rates continue to flatten (2y: +1bp; 30y: -1bp) into Wednesday's FOMC meeting, with the front end slightly underperforming after a weak auction.** Front-end yields initially rise in the New York morning on the back of an unexpected data release by ADP, which suggests payrolls rose an average of ~14k per week in the four-week period that ended October 11, implying 60k jobs added. The move retraces ahead of the afternoon's 7y auction, which tails by 0.8bp on weak demand with high allocation to primary dealers. Hence, front-end yields remain slightly elevated through the afternoon.

- **We expect the Fed to deliver a 25bp cut and likely signal another cut for December, but the Fed could limit how far rate guidance extends past year-end.** We now expect the Fed to announce the end of balance sheet normalization in January and begin reducing IORB by an additional 5bp in either October or December in preparation for the end of QT. For more, see October FOMC Preview: 25bp Rate Cut and Prepare for the End of QT.

- **Risk sentiment strengthens on unconfirmed reports that the US will consider rolling back its fentanyl-related tariffs,** potentially in exchange for China tightening controls on exports of precursor chemicals. In particular, the speculative proposal would lower the 20% fentanyl-related tariffs to 10%, reducing the overall effective rate on China from the current 40% to roughly 30%, in line with our public policy strategists' expectation for a 30% rate on China by the end of the year. Risk-sensitive currencies outperform against the dollar (AUD/USD: +0.4%; NZD/USD: +0.3%). Similarly, the S&P 500 rallies another 0.2%, supported by a positive investor reaction to developments in AI (S&P IT: +1.6%).

- **Japanese rates and JPY both rally on easing fiscal concerns in the wake of Prime Minister Takaichi's first meeting with President Trump.** The tone is

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constructive from both sides. US Treasury Secretary Bessent signals support for an expansionary fiscal stance and emphasizes the importance of sound monetary policy, but does not comment specifically on the BoJ's policy direction as he has in the past. Since the US administration does not make any additional policy requests that would entail fiscal expansion, the long end continues to outperform in the Tokyo afternoon, resulting in a bull-flattening (2y: -0.5bp; 20y: -3bp). JPY leads gains among the G10 (USD/JPY: +0.5%) as some fiscal and political uncertainties resolve.

- **European rates trade within a similarly narrow range ahead of this week's Fed and ECB meetings, with 10y bunds closing only 1bp higher.** Ahead of Thursday's meeting, the ECB releases its October bank lending survey, which reveals a small unexpected tightening of credit standards for loans to firms in Q3 2025. Meanwhile, the 10s30s curve continues to flatten, and we expect this move could continue in the coming weeks due to receiving flows and bond buying related to inflation indexation of Dutch pension funds, as has been the case in prior years.

Emerging Markets

- **AxJ currencies largely strengthen alongside JPY, while local rates trade mixed.** In China, CNH gains 0.2% to ~7.0970 per USD as the USD/CNY fixing continues to edge lower (7.0856; P: 7.0881) and the 15th Five-Year-Plan signals a willingness to shift towards more balanced growth, albeit at a gradual pace. Chinese rates rally (10y CGB: -2bp) on the back of the PBoC's announcement on Monday of continued government bond trading. USD/THB extends its downtrend, falling 0.8% to 32.45 despite the further correction in gold prices (-0.8%), while Thai rates rally.

- **In the Asia session, KRW diverges from JPY, weakening 0.2% against USD amid Korean equity market weakness (KOSPI: -0.8%) and concerns about capital outflows.** Korean rates twist flatten (3y KTB: +2bp; 10y: -2bp) after a stronger-than-expected 3Q25 GDP print (1.7% y/y; C: 1.5%). PHP also underperforms, weakening another 0.4% to a record low 59.18 per USD after BSP commits to allowing market forces to determine the exchange rate (see below).

- **LATAM rates trade relatively flat in line with US rates, while Colombia underperforms among regional currencies due to falling oil prices (Brent: -1.9%) and geopolitical tensions.** COP weakens 1.3% against USD, under pressure from a 2% decline in Brent and continued tensions between Colombian President Petro and President Trump over military activity. Meanwhile, BRL outperforms, gaining 0.3% against USD as the Brazilian DI curve bear-steepens in a partial reversal of its recent rally.

- **CEEMEA rates see flattening pressure across the region.** The curve bull-flattens in Hungary (2y: -2bp; 10y: -5bp) and Poland (10y: -4bp). South Africa leads gains in the FX space, with USD/ZAR closing 0.5% lower.

Central Bank Monitor

Emerging Markets

- In Chile, the **BCCh** maintained its overnight rate target at 4.75%, in line with expectations. The statement maintained a cautious tone, noting that inflation and activity have evolved broadly in line with September's IPoM, but risks to the inflation path remain. September inflation came in as projected (Headline: 4.4%; Core: 3.9%), and expectations remain anchored near the 3% target. The BCCh noted stable domestic activity, higher copper prices, and moderating wages while emphasizing the need for additional data before resuming the move toward neutral. The lack of a clear signal on the timing of future cuts leaves December pricing intact, though the tone suggests a continued wait-and-see approach.
- In China, **PBoC Governor Pan** reiterated that the central bank will maintain the currency largely stable around a reasonable equilibrium level, enhance financial supervision, and promote RMB internationalization. He stated that China will further develop its state-backed digital currency, though he expressed concerns regarding stablecoins. He revealed the PBoC is exploring an arrangement to provide liquidity to non-bank financial institutions and could introduce a new policy for individuals to repair their personal credit records by early 2026.
- In the Philippines, **BSP** said it allows the exchange rate to be determined by market forces, and when it does participate in the FX market, it is largely to dampen inflationary swings over time rather than to prevent day-to-day volatility. The central bank explained the recent PHP depreciation may reflect market concerns over a potential moderation in economic growth and expectations of further monetary easing. BSP expects continued support for PHP from resilient remittance inflows, relatively fast economic growth, low inflation, and ongoing structural reforms.
- **BoT Governor Vitai** called for Thailand's asset management companies to double their purchases of banks' non-performing loans to at least 20% to help Thailand's high household debt problem. He noted that while Thailand's household debt has edged down slightly to ~86% of GDP from 90%, it remains among the highest in the region.
- **BoK Director of Reserve Investment Division Jung** said the BoK plans to consider additional gold purchases in the medium to long term, with the last addition to its gold holdings in 2013. He added the evolution of the central bank's international reserves and the trajectory of gold and KRW will determine the decision.

Exhibit 1: G4 Rates Closes (5pm NY)

	US			Germany			UK			Japan		
Tenor	28-Oct	1d Δ (bp)	2wk	28-Oct	1d Δ (bp)	2wk	28-Oct	1d Δ (bp)	2wk	28-Oct	1d Δ (bp)	2wk
2y	3.490	(0.1)		1.972	0.2		3.767	(0.8)		0.933	(0.6)	
3y	3.497	0.6		2.027	0.3		3.752	(1.2)		1.000	(1.0)	
5y	3.610	0.8		2.231	0.5		3.871	(1.0)		1.213	(1.8)	
7y	3.774	(0.0)		2.366	0.6		4.004	(0.1)		1.429	(1.6)	
10y	3.976	(0.4)		2.622	0.7		4.399	(0.1)		1.638	(2.8)	
20y	4.515	(1.2)		3.090	0.6		5.058	(0.3)		2.578	(2.6)	
30y	4.540	(1.2)		3.190	0.2		5.173	(0.7)		3.054	(2.0)	

Source: Morgan Stanley Research, Bloomberg

Exhibit 2: Inflation Closes (5pm NY)

	US TIPS			10y Real Yields, BEI							
Tenor	28-Oct	1d Δ (bp)	2wk	10y	28-Oct	1d Δ (bp)	2wk	10y	28-Oct	1d Δ (bp)	2wk
5y	1.228	0.8		DBRi	0.671	1.1		BTPi	1.711	(0.1)	
BEI	2.373	(0.4)		BEI	1.748	(0.4)		BEI	1.706	0.4	
10y	1.682	(1.0)		UKTi	1.539	(1.0)					
BEI	2.291	0.4		BEI	2.929	0.9					
30y	2.316	(2.2)		JGBi	0.044	(0.2)					
BEI	2.226	1.0		BEI	1.564	(2.7)					

Source: Morgan Stanley Research, Bloomberg

Exhibit 3: Macro Closes (5pm NY)

Majors				EM				Equities / Commodities			
Spot	28-Oct	1d Δ (%)	2wk	Spot	28-Oct	1d Δ (%)	2wk	Index	28-Oct	1d Δ (%)	2wk
DXY	98.67	(0.1)		CNH	7.10	(0.2)		S&P	6890.89	0.2	
EUR	1.165	0.1		INR	88.27	0.0		Stoxx	5704.35	(0.1)	
GBP	1.327	(0.5)		THB	32.45	(0.8)		FTSE	9696.74	0.4	
JPY	152.11	(0.5)		KRW	1433.00	0.0		Nikkei	50219.18	(0.6)	
CHF	0.793	(0.3)		ZAR	17.16	(0.4)		VIX	16.42	4.0	
AUD	0.659	0.4		MXN	18.43	0.2		Gold (S)	3952.14	(0.8)	
CAD	1.395	(0.3)		BRL	5.36	(0.3)		WTI (Fut)	60.15	(1.9)	

Source: Morgan Stanley Research, Bloomberg

Exhibit 4: G4 Central Bank Implied Pricing

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Fed	Implied	1d Δ (bp)	Total Δ	ECB	Implied	1d Δ (bp)	Total Δ	BOE	Implied	1d Δ (bp)	Total Δ	BOJ	Implied	1d Δ (bp)	Total Δ
EFFR (10/27)	4.120	0.0	--	EONIA (10/27)	1.929	0.0	--	SONIA (10/27)	3.969	0.0	--	TONAR (10/27)	0.477	0.0	--
10/29/25	3.852	(0.5)	(26.8)	10/30/25	1.927	0.0	(0.2)	11/06/25	3.892	(1.2)	(7.7)	10/30/25	0.518	1.5	4.1
12/10/25	3.622	0.4	(49.8)	12/18/25	1.910	(0.5)	(1.9)	12/18/25	3.797	(1.4)	(17.2)	12/19/25	0.593	0.3	11.6
01/28/26	3.493	0.5	(62.7)	02/05/26	1.895	0.2	(3.4)	02/05/26	3.646	(1.9)	(32.3)	01/23/26	0.692	0.0	21.5
03/18/26	3.382	0.5	(73.8)	03/19/26	1.852	(0.2)	(7.7)	03/19/26	3.579	(2.9)	(39.0)				
04/29/26	3.320	0.7	(80.0)	04/30/26	1.848	0.8	(8.1)	04/30/26	3.475	(1.9)	(49.5)				
06/17/26	3.187	0.6	(93.3)	06/11/26	1.804	(0.9)	(12.5)	06/18/26	3.442	(2.4)	(52.8)				

Source: Morgan Stanley Research, Bloomberg

Economic Releases

Developed Markets

- **US August S&P CoreLogic CS 20-City Home Price Index:** 0.2% m/m SA (C: -0.1%; P: -0.1%). US home prices posted their smallest annual gain in over two years, rising just 1.5% in August as inventory grew and buyers gained leverage, marking the seventh consecutive month of slowing growth. This moderation, aided by easing mortgage rates from near 7%, offers relief after a prolonged affordability squeeze.
- **US October Conference Board Consumer Confidence:** 94.6 (C: 93.4; P: 94.2). Consumer confidence stabilized, with improved assessments of current conditions and the labor market suggesting no further slowdown in economic activity or labor market deterioration. Despite a slight dip in the headline index, upward revisions to September data point to a net improvement, supporting expectations for continued Fed rate cuts.

- **US October Richmond Fed Manufacturing Index:** -4.0 (C: -11.5; P: -17). The pace of decline slowed in October, with underlying details pointing to expansion in activity and easing contraction in new orders, though employment remained weak. Price pressures were subdued in the survey, but the S&P measure indicated some tariff-related increases.

Emerging Markets

- **Korea 3Q25 Advance GDP:** 1.7% y/y (MSe: 1.7%; C: 1.5%; P: 0.6%); **October Consumer Confidence:** 109.8 (P: 110.1)
- **India September Industrial Production:** 4.0% y/y (C: 2.9%; P: 4.1%)
- **Egypt Production Index:** 9.32% m/m (P: 9.31%)
- **Mexico September Unemployment Rate NSA:** 2.98% (P: 2.93%; C: 2.86%). Print surprised to the upside, reinforcing expectations for Banxico easing. Markets are pricing ~41bps of cuts through year-end and ~32bps in 2026, implying a terminal rate near 6.77% by March.

The Day Ahead

Developed Markets

- 2:00pm EST - **US October FOMC Meeting.** In line with consensus, we expect the Fed to lower the federal funds rate by 25bp to 3.75-4.0% at the October meeting, maintaining an easing bias and signaling more cuts ahead despite limited data. The Fed is also likely to prepare to end balance sheet normalization, including a possible 5bp IORB reduction in October or December. See October FOMC Preview: 25bp Rate Cut and Prepare for the End of QT.
- 10:00am EST - **US September Pending Home Sales** (C: 1.4% m/m; P: 4%) (P: 0.5% y/y). The pending home sales index has been moving sideways for about a year and a half.
- 8:00am BST - **Spain 3Q Flash GDP** (MSe: 0.6%; C: 0.7%; P: 0.8%). We expect GDP to decelerate, but remain solid. We anticipate a modest slowdown in private consumption, likely around 0.6% q/q, as suggested by recent monthly retail trade data. Meanwhile, investment likely picks up, supported by the recent increase in cement consumption.
- 10:00am BST - **Belgium 3Q Flash GDP** (MSe: 0.2%; P: 0.2%). We expect growth to remain positive on the back of resilient demand.

Emerging Markets

- Wed 10:00am HKT - **Korea September Retail Sales** (P: 3.7% y/y); **Department Store Sales** (P: 2.8% y/y); **Discount Store Sales** (P: -15.6% y/y)
- 7:30am BST - **Hungary September Trade Balance** (P: EUR636mn)

- 8:00am EST - **Chile September Unemployment Rate** (P: 8.6%; C: 8.5%). Consensus expects only a slight improvement. This aligns with recent data showing domestic demand recovery, but job creation continues to lag, keeping labor market conditions tight and unemployment elevated.

For more details, please refer to our economists' weekly reports and data previews:

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- *Japan*
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- Equity & Fixed Income Strategy: Pulse Survey - Self-Directed Retail Investors Favor Quality
- Australia Macro+: Index Rebalance December Preview

G4 Smarter (Beta) Trading Partners

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Since 2000, enhancements to a G4 10y government bond futures momentum strategy have produced higher Sharpe ratios and stronger returns relative to total return government bond indices for the G4: US, Germany, Japan, and the UK. See A "Smarter" (Beta) Way to Trade G4 10y Futures Duration? for more information on these strategies.

Exhibit 5: Trading Signals for G4 Smarter (beta) Trading Strategy

Current Risk, G4 10y Futures	G4 Strategy Weight	Trade Longs Portfolio	Fade Shorts Portfolio	Total Risk Trade Longs Only	Total Risk Trade Longs/Fade Shorts (max 200%)	Trade Longs Portfolio Entry Date	Trade Longs Portfolio Exit Date	Fade Shorts Portfolio Entry Date	Fade Shorts Portfolio Exit Date
JB 10y Future	32.50%	100%	100%	100%	200%	10/15/2025	11/20/2025	9/19/2025	10/28/2025
GE 10y Future	29.25%	100%	0%	100%	100%	10/7/2025	11/11/2025	-	-
US 10y Future	30.50%	100%	100%	100%	200%	10/14/2025	11/19/2025	9/24/2025	10/30/2025
UK 10y Future	7.75%	100%	100%	100%	200%	10/15/2025	11/19/2025	9/25/2025	10/30/2025

Source: Morgan Stanley Research

Trading Strategy 1 – "Trade Longs/Fade Shorts"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, buy the futures contract and hold for a 25-business-day period. In short, this strategy buys futures when the Simple Moving Average Crossover (SMAX) generates both a long and a short signal, given the historical outperformance of long signals traded long and the underperformance of short signals traded short. Given that the SMAX could generate both a long and a short signal within the predefined holding period, an investor may have a 200% long position since each of the two signals would be traded in separate portfolio sleeves.

Trading Strategy 2 – Trade "Longs Only"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, do nothing. In short, an investor *only* trades long signals initiated by the SMAX given their historical precedent to outperform.

US Holiday Trading Strategy

Currently Active Strategies

None.

Combining the individual trading signals based on 10y Treasury future (TY) price patterns before and after US holidays has generated an annual strategy with no down years since 1987. See Trading 10y Treasury Futures Around US Holidays for more information.

Using historical data since 1983, we created a trading strategy using 10y Treasury futures (TY) that trades 11 times per year, either long or short, before or after the following US holidays: New Year's Day, Martin Luther King Day, Presidents' Day, Good Friday, Memorial Day, Independence Day, Labor Day, Columbus Day, Thanksgiving, and Christmas. Exhibit 6 displays the trading rules:

Exhibit 6: Trading rules for US holiday trading model using US 10y futures contracts (TY)

Holiday	Day of Week	Direction	Before/After Holiday	Trading Rule (business days, 3pm NY unless specified)	Trade Entry (business days)	Trade Exit (business days)
New Year's Day	Rotates	Long TY	After	Buy TY New Years +1, Sell TY New Years +4	New Year + 1	New Year + 4
Martin Luther King Day 1	Monday	Long TY	Before	Buy TY Tuesday before MLK, Sell Friday before MLK	MLK - 4	MLK - 1
Martin Luther King Day 2	Monday	Short TY	After	Sell TY Tuesday after MLK, Buy Friday after MLK	MLK + 1	MLK + 4
President's Day	Monday	Long TY	After	Buy TY Tuesday after Pres. Day, Sell TY Friday after Pres. Day	Pres. Day + 1	Pres. Day + 4
Good Friday	Friday	Long TY	After	Buy TY Monday after Good Friday, Sell TY Friday after Good Friday	Good Friday + 1	Good Friday + 5
Memorial Day	Monday	Long TY	After	Buy TY Tuesday after Mem. Day, Sell TY Friday after Mem. Day	Mem. Day + 1	Mem. Day + 4
Independence Day (July 4th)	Rotates	Long TY	After	Buy TY Independence Day + 2, Sell TY Independence Day + 4	Ind. Day + 2	Ind. Day + 4
Labor Day	Monday	Long TY	Before	Buy TY Monday before Labor Day, Sell TY Thursday before Labor Day	Labor Day - 4	Labor Day - 2
Columbus Day	Monday	Short TY	Before	Sell TY Monday before Col. Day, Buy TY Thursday before Col. Day	Colum. Day - 5	Colum. Day - 2
Thanksgiving	Thursday	Long TY	Before	Buy TY Friday before Thanksgiving, Sell TY Tuesday before Thanksgiving	Thanksgiving - 4	Thanksgiving - 2
Christmas	Rotates	Short TY	Before	Sell TY Christmas Day - 4, Buy TY Christmas Day - 1	Christmas - 4	Christmas - 1

Source: Morgan Stanley Research. Note: Past performance is no guarantee of future results.

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(as of September 30, 2025)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1499	41%	389	46%	26%	702	41%
Equal-weight/Hold	1618	44%	375	44%	23%	782	45%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	577	16%	88	10%	15%	234	14%
Total	3,698		853			1719	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O or Over) - The stock's total return is expected to exceed the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis over the next 12-18 months.

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